

Economic Development Tax Incentive Overview

Brecksville-Broadview Heights City School District Board of Education Meeting

June 26, 2024



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Purpose and Use of Tax Incentive Programs

- Provided by Ohio law
- Designed to stimulate economic growth
- Activity deemed to be in the public interest
- Promote investment, create or preserve jobs, and enhance communities
- Collaboration between local government and private business
- Intended to be temporary, for a limited amount of time
- Provided primarily through property tax abatements

Potential Role of a School District

- Establish policies regarding use of economic development tools and Board consent with respect to requests
- Maintain flexibility to respond to incentive options on a case-by-case basis as development arises
- Work in partnership with other local governments to promote responsible development

School District Involvement

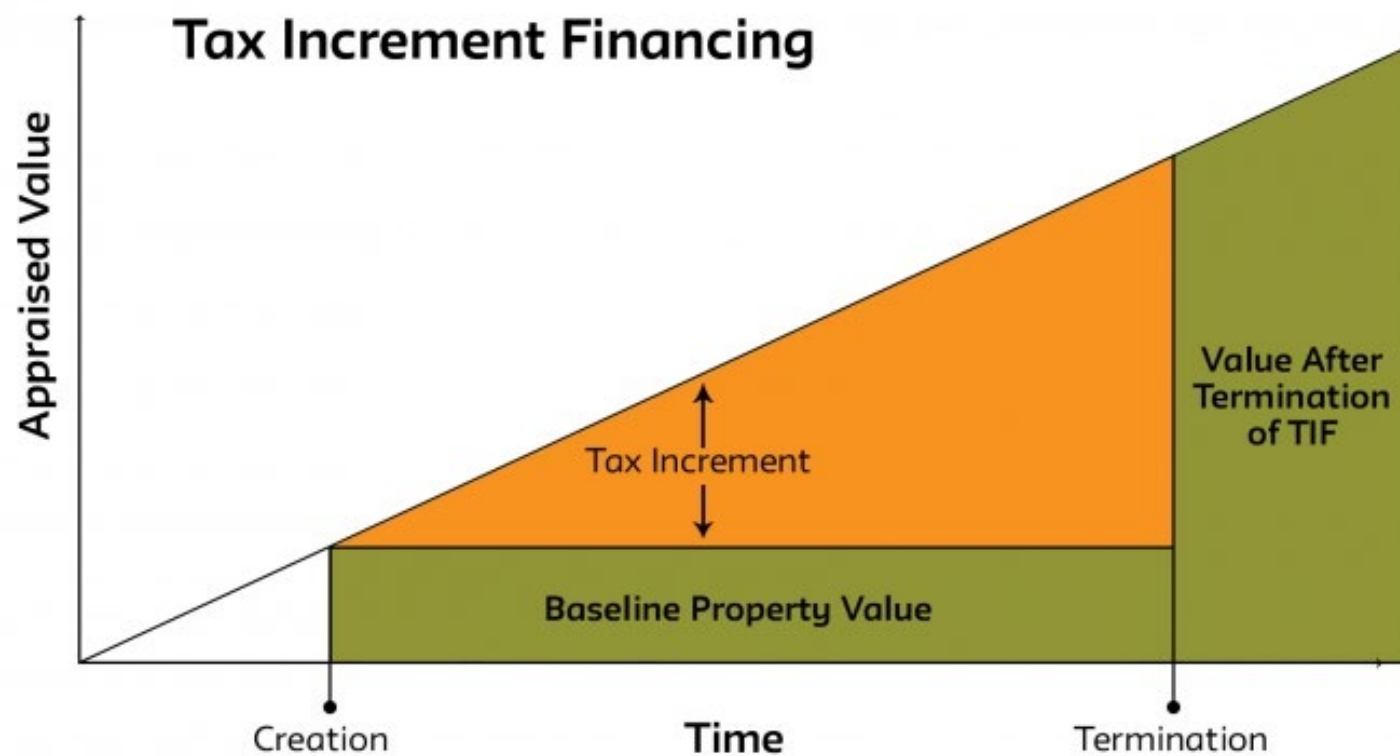
- School districts rely heavily on property tax
- Safeguards are provided to school districts
 - Must be given advance notice of planned abatement
 - Board of Education may “veto” a tax abatement under certain circumstances or negotiate an annual compensation agreement
 - School district representatives sit on tax incentive review councils that monitor compliance with tax abatement agreements
 - In some cases, municipal income tax compensation agreements are required to be negotiated with the school district

School District Use of Compensation Agreements

- Revenue used for general operating or permanent improvement needs
- Services and/or supplies provided by company

Economic Development Tax Incentive Programs

- Tax Increment Financing (TIF) (tax payments are diverted)
 - Purpose
 - Public infrastructure financing tool to benefit private development
 - Primarily used for commercial development, limited use for residential
 - Term and Percentage
 - Without school district approval
 - Up to 75% and 10 years
 - Up to 100% and 30 years for Non-school TIF's (school are "made whole")
 - Greater than 75% or more than 10 years generally requires school district approval
 - Can be up to 100% and 30 years
 - Usually includes school district compensation agreements
 - Requirements
 - Public infrastructure paid through TIF may include, but limited to;
 - Public roads, water and sewer lines, storm-water retention, acquiring land, providing for utilities, parking facilities, and communication services facilities



Source: Planning Tank. *Tax Increment Financing (TIF) | Public Financing | Types of TIF*.
<https://planningtank.com/finance/tax-increment-financing-tif-types-tif> (accessed 2018).

Brecksville-Broadview Heights Schools

- Abatements
 - None noted
- Tax Increment Financing (TIF)
 - City of Brecksville
 - 30 Year TIF for 100% of the increase in assessed value
 - Compensation Agreement in place
 - Payments provided by the City
 - Areas being monitored
 - Sherwin-Williams
 - Valor Acres
 - Phase I – Digeronimo Property
 - Phase II - CIC Property & CIC Property Parcel 1 & 1B
 - Crowland Property
 - City of Broadview Heights
 - Non-school TIF provides 100% make whole payment
 - Payments provided through County tax settlements
 - 3 Commercial properties

Current Market Values

Project Area	Base Value	Improvement Values	Total Taxable Values
<u>City of Brecksville – TIF Areas</u>			
Sherwin Williams	\$4,473,700	\$8,120,800	\$15,594,500
Phase I - DiGeronimo Property	0	0	0
Phase II - CIC Property	3,876,600	7,783,400	11,660,000
Crowland Property	2,584,400	0	2,584,400
Subtotal	\$10,934,700	\$15,904,200	\$26,838,900
<u>City of Broadview Heights – TIF Areas</u>			
Aldi, Inc.	\$830,400	\$2,075,000	\$2,905,400
NJD Properties, LLC	425,600	1,313,100	1,738,700
Sgt. Clean Broadview Hgts	697,000	1,110,200	1,807,200
Subtotal	\$1,953,000	\$4,498,300	\$6,451,300
Total	\$12,887,700	\$20,402,500	\$33,290,200

Current Compensation Payments



Sherwin Williams

- Land value noted for development site

Phase II - CIC Property

- Site improvements noted for Canvas at Valor Acres – Luxury Multifamily



Compensation Agreement

- Non-School TIF's
 - Provide 100% of taxes due
- Second Amended and Restated Compensation Agreement
 - Approved August 18, 2020
 - Provides for School District compensation payments in the first collection year that service payments are received
 - Ongoing Compensation Payment Formula
 - Millage in place prior to 1/1/2019 = $\text{Service Payments} \times 25\% \times \text{School effective millage} / \text{Total effective millage}$
 - Millage in place after 1/1/2019 = $\text{Service Payments} \times 100\% \times \text{Tax increase amount} / \text{Total effective millage}$
 - Service payments received in collection year 2024

Compensation Payment Calculation

	Brecksville	Broadview Heights
Increment Market Value	\$15,904,200	\$4,498,300
Increment Assessed Value (35%)	5,566,470	1,574,405
CY 2024 Total effective millage (All Entities)	81.9743	83.9300
Total TIF Service Payments (All Mills)	\$456,308	\$132,140
% of School District Portion	25%	100%
School District Millage	47.2829	47.2829
Total Effective Millage (above)	81.9743	83.9300
Total CY2024 Anticipated School Compensation Payment*	\$65,800	\$74,443
1st Half Received (Direct Payment and Cty Settlement)	\$32,901.67	\$47,843.31

* Compensation Formula = Service Payments x % of School District Portion x School District Millage / Total Effective Millage

Next Steps

Meeting with City and Developer

- Confirmation of values
 - Cuyahoga County
 - City & Developer
- Determination of payment
 - Current payments received
 - Future estimates
- Review Development
 - Anticipated completion of phases
 - Estimated build out timeline
 - Current construction investment and estimated AV values
- Monitor and Track
 - Included growth estimates in future reports
 - Annually track and review development completion and values
 - Track and review service payments provided